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KNOW YOUR (LACK OF) RIGHTS: REEXAMINING THE CAUSES
AND EFFECTS OF PHANTOM EMPLOYMENT RIGHTS

BY
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I. INTRODUCTION

American employment relations are haunted by a very peculiar specter that resides in virtually all corners of the country and clouds the minds of employer and employee alike, but has thus far received only minimal attention. While the origins of this specter remain elusive, there can be no doubt that it exists (as it has been empirically verified on a number of occasions) and that it manages to cause mischief that is quite real. This Article is intended to bring this troublesome apparition back into the light.

The specter referred to is that of phantom employment rights – rights that the overwhelming majority of Americans believe protect them at the workplace but mysteriously vanish at the first instance of legal

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consultation. Over the last thirteen years, a number of empirical studies have established that most Americans overestimate the protective power of employment regulations.¹ The studies further show that overestimation of employment rights is neither geographically bound nor demographically limited.² These rather dramatic findings have received relatively little academic or popular attention, with the notable exception that their value has been seized upon with regard to the debate over the legitimacy of the doctrine of employment at-will (which had been justified on the grounds of implied consent to default contractual terms).³ Thus, long after the discovery of phantom employment rights, their causes remain relatively obscure and their doctrinal and social implications continue to be largely unexplored. Surprisingly, even in relationship to labor law's favorite "who done it" mystery – uncovering the causes of the relentless decline in unions – phantom employment rights have almost entirely escaped suspicion and scrutiny.

This Article reexamines the causes and effects of phantom employment rights and shows that they are at once products of and contributors to seismic shifts in the nature of employment relations in the United States. As a foundation, Part II establishes through empirical evidence the existence and prevalence of phantom employment rights. Part III reexamines the potential causes of these rights, critically examining Pauline Kim's theory that such rights derive primarily from a confusion of social norms with legal rights,⁴ Cass Sunstein's hypothesis that they derive from mistaking what the law is for what conceptions of fairness dictate it should be,⁵ and Cynthia Estlund's suggestion that phantom rights are a byproduct of employer over-estimation of the risk of wrongful discharge

1. See RICHARD B. FREEMAN & JOEL ROGERS, *WHAT WORKERS WANT* 145-50 (updated ed., 2006) (reporting results of Worker Representation and Participation Survey of 1994-1995); Pauline T. Kim, *Bargaining with Imperfect Information: A Study of Worker Perceptions of Legal Protection in an At-Will World*, 83 CORNELL L. REV. 105 (1997) [hereinafter Kim, *Bargaining*]; Pauline T. Kim, *Norms, Learning, and Law: Exploring the Influences on Workers' Legal Knowledge*, 1999 U. ILL. L. REV. 447 [hereinafter Kim, *Norms, Learning, and Law*]; Jesse Rudy, *What They Don't Know Won't Hurt Them: Defending Employment-at-Will In Light of Findings That Employees Believe They Possess Just Cause Protection*, 23 BERKELEY J. EMP. & LAB. L. 307 (2002); Peter D. Hart Research Associates, Inc., *AFL-CIO Workers' Rights Study #6358*, July 5-9, 2001 (on file with the author).

2. See FREEMAN & ROGERS, *supra* note 1, at 148 (noting that college graduates and non-graduates, as well as union members and nonunion members, were similarly misinformed); Kim, *Norms, Learning, and Law*, *supra* note 1, at 465 (determining that worker misunderstanding of employment laws is "fundamental and widespread").

3. See, e.g., Cynthia L. Estlund, *How Wrong Are Employees about Their Rights, and Why Does It Matter?*, 77 N.Y.U. L. REV. 6 (2002); Kim, *Bargaining*, *supra* note 1; Rudy, *supra* note 1; Cass R. Sunstein, *Human Behavior and the Law of Work*, 87 VA. L. REV. 205 (2001).

4. See Kim, *Norms, Learning, and Law*, *supra* note 1.

5. Sunstein, *supra* note 3, at 229-31.

liability.⁶ It argues that these theories all have a common drawback – even members of the public with a low degree of legal acumen are usually successful in distinguishing between prevalent social norms, concepts of fairness, and legal mandates. To adequately understand the epistemological origins of the phenomenon of phantom rights, it is necessary to consider the socio-political context in which it thrives. Because of the state of workplace regulations in the United States, employees are likely to be at once aware that the workplace is regulated, but due to the Byzantine character of such regulations, unaware of the *content* of such regulations. To bridge the gulf between knowledge that employment is obviously regulated and ignorance as to the detail of such regulation, employees rely on immediately accessible cues, such as observed workplace norms and intuitive concepts of fairness, which in other circumstances might loosely approximate the contours of law. However, the inaccuracy resulting from this intuitive psychological construction of the imagined content of employment laws is exacerbated by the fact that though American employment relationships are subjected to numerous regulations, these regulations generally provide only narrow employment protections. While the American labor market is widely regulated (a fact the public tends to know), these regulations provide only a thin level of protection (a fact the public tends not to know). In short, phantom rights emerge from a complicated and inaccessible legal regime that superficially promises more than it delivers.

Having reexamined the causes of phantom employment rights, Part IV reconsiders their potential effect. It argues that phantom employment rights may negatively impact employee mobilization strategies by muting desires to join unions or demand more protective laws. In essence, because employees already believe that they have secure, individually enforceable legal rights, they have less motivation to organize in support of labor unions or legislation that serve to guarantee fair treatment in the workplace. In particular, employees are likely eager to avoid assumption of risks and costs associated with the formation of employee organizations (e.g., employer retaliation; union dues), which are generally incurred prior to any employer misconduct, if employees believe that the law will regardless afford individualized relief in the event the employment relationship turns sour. Thus, phantom employment rights may be yet another contributing factor to the decline in labor union coverage and membership. By the same measure, phantom employment rights sap pressure for more individually enforceable employment rights.

6. Estlund, *supra* note 3, at 10-14.

This Article concludes that labor activists would benefit by not only explaining to workers their rights, but also raising employee awareness of their lack of rights.

II. PHANTOMS AMONG US: PROVING THE EXISTENCE AND PERVASIVENESS OF PHANTOM EMPLOYMENT RIGHTS

For several years, I served as a counselor for workers' rights clinics in California and Washington, D.C. that provided free employment-related legal advice for indigent and lower-income clients. When I first volunteered, my expectation was consistent with the standard view that "[b]ecause employees often do not know their rights, employers may ignore or deny them, and the employees may fail to assert or enforce them."⁷ Thus, I believed that the clinics served the important pedagogical function of empowering workers through legal education. However, the clinics' functions were often quite different.

In my experience, most clients came to the clinics blithely unaware of the at-will rule and expecting that the law protected them from a wide variety of perceived employer misconduct. Clients seemed to believe that the legal regime governing employment relations in America provided a general guarantee of fair treatment in occupational settings. The education they received was that they had far fewer employment rights than they believed.

Most employment contracts in the U.S. are presumed to be at-will. This presumption is the product of a legal regime that provides no general guarantee of fair treatment in occupational settings. Popularized by Horace Wood in the 1870s,⁸ the at-will doctrine holds that absent a contractual limitation on the period of the employment relationship, either party may terminate the relationship at any time for no reason or for any reason, including a reason that is morally wrong.⁹ While a variety of exceptions have been carved out of this doctrine,¹⁰ it remains good law in forty-nine

7. Clyde Summers, *Effective Remedies for Employment Rights: Preliminary Guidelines and Proposals*, 141 U. PA. L. REV. 457, 529 (1992).

8. There is much debate over whether Wood created the rule or whether his treatise simply popularized it. Compare Theodore J. St. Antoine, *You're Fired! For the Nonunion Worker, Protection against Arbitrary Dismissal Is an Idea Whose Time Has Come*, HUM. RTS., Winter 1982, at 32, 33 (arguing that Wood created the rule) with Mayer G. Freed & Daniel D. Polsby, *The Doubtful Provenance of "Wood's Rule" Revisited*, 22 ARIZ. ST. L.J. 551, 552 (1990); see also STEVEN L. WILLBORN ET. AL., EMPLOYMENT LAW CASES AND MATERIALS 81 (3d ed. 2002).

9. See, e.g., *Payne v. W. & Atl. R.R. Co.*, 81 Tenn. 507, 519-20 (1884) ("All may dismiss their employees at will, be they many or few, for good cause, for no cause or even for a cause morally wrong, without being thereby guilty of legal wrong.") (emphasis added).

10. For a fairly complete typology of exceptions to the at-will rule, see Maureen S. Binetti et al.,

states.¹¹

Unless a counselor at a workers' rights clinic can pigeon-hole a client's claim into one of the exceptions to the at-will rule, there generally is no identifiable legal recourse. Thus, counselors often end an interview by sympathetically telling the client that while the employer's actions may be unfair or arbitrary, that does not mean that the action is illegal. Consequently, my expectation that as a clinic counselor I would empower workers by informing them of their legal rights was often inverted – the workers came expecting that the law provided them a remedy, and it was my job to inform them it did not. Rather than a “know your rights” workshop, the clinics often functioned like a “know your *lack of rights*” educational service.¹²

It turns out that my clients at the workers' rights clinics are not alone in generally overestimating their legal rights at work. Since the mid-1990s, a number of studies have established that overestimation of employment rights is a significant and pervasive phenomenon. The first such study was the Worker Representation and Participation Survey (WRPS) conducted in 1994 and 1995 with over 2400 workers participating.¹³ In one question,¹⁴ workers were asked whether they thought six actions by employers were legal or illegal. Three of the actions listed in the question are generally legal (firing a worker for no reason; firing a worker for refusing hazardous work,¹⁵ and permanently replacing someone who goes on strike) and three

The Employment-at-Will Doctrine: Have its Exceptions Swallowed the Rule? Common Law Limitations Upon an Employer's Control over Employees-at-Will, in 650 LITIGATION: HANDLING WRONGFUL TERMINATION CLAIMS 2001; WHAT PLAINTIFFS AND DEFENDANTS HAVE TO KNOW 577 (Practising Law Inst. ed. 2001); see also *infra* notes 109-127 and accompanying text (describing the proliferation of employment regulations since the New Deal).

11. Montana became the only state to abandon the at-will doctrine altogether when it adopted a just cause dismissal rule in 1987. See WILLBORN ET AL., *supra* note 8, at 226-27; see also MONT. CODE ANN. §§ 39-2-901 to 39-2-915 (2007).

12. It is important to emphasize although many of the clients ultimately do not come to the clinic with legally actionable cases, the clinics provide an important public service in listening to and advising such clients regarding their employment situations. Indeed, as will be discussed *infra*, it can be as valuable for employees to know what rights they do not have as to know what rights they possess. Furthermore, many clients do have legally redressable claims and obtain critical assistance from these clinics.

13. FREEMAN & ROGERS, *supra* note 1, at 30-31. Freeman and Rogers first published the results of the WRPS in 1999 and have recently republished it with updated discussion. See *id.* For a description of the methodology of the survey see *id.* at 29-66; see also RICHARD B. FREEMAN & JOEL ROGERS, WORKER REPRESENTATION AND PARTICIPATION SURVEY (WRPS), <www.nber.org/~freeman/wrps.html> (last visited Aug. 19, 2008).

14. FREEMAN & ROGERS, *supra* note 1, at 147, exh. 6.1.

15. Although the authors of the study describe this action as legal, employers are required to comply with relevant occupational safety and health requirements promulgated by the Occupational Safety and Health Administration (OSHA), the Mine Safety and Health Administration (MSHA), and other relevant federal and state authorities; and such agencies are sometimes authorized to bring actions against employers for disciplining an employee who, in certain circumscribed conditions, refused work

of the actions are generally illegal (moving a worker to a job with less pay or responsibility for trying to form a union; avoiding hiring blacks or other minorities, even for good business reasons; refusing family leave so an employee can care for a sick child).¹⁶ The study found that a large majority of respondents believed that all the described actions were illegal, regardless of whether they actually were or not – an average of 74 percent of respondents incorrectly asserted that the actions which are generally legal were actually illegal, while an average of 78 percent correctly identified that the illegal actions were unlawful.¹⁷ Critically important, the survey highlighted widespread ignorance of the employment at-will rule, as 83 percent of respondents believed it was illegal to fire a worker for no reason.¹⁸

Similar results were reported in studies designed and conducted by Pauline Kim in the late 1990s that tested employee knowledge of the at-will rule.¹⁹ Kim's initial survey was completed by 337 employees who obtained it at the offices of the Missouri Division of Employment Security when they filed for unemployment insurance benefits.²⁰ The first part of the survey asked respondents to determine the legality of eight separate motivations for an employer to discharge an employee.²¹ Prefatory instructions clarified that the employer and employee did not have a formal contract and that the discharge did not involve illegal discrimination or disability.²²

based on a reasonable fear of death or serious bodily injury. See 29 CFR § 1977.12(b)(2) (2008); see also *Whirlpool Corp. v. Marshall*, 445 U.S. 1 (1980) (upholding this regulation as within powers delegated by Congress). Furthermore, to the extent that such a refusal constitutes protected concerted activity under the National Labor Relations Act, employer retaliation may be unlawful. See, e.g., *NLRB v. Washington Aluminum Co.*, 370 U.S. 9 (1962).

16. FREEMAN & ROGERS, *supra* note 1, at 147.

17. *Id.*

18. *Id.*

19. Kim, *Bargaining*, *supra* note 1; Kim, *Norms, Learning, and Law*, *supra* note 1.

20. Kim, *Bargaining*, *supra* note 1, at 128-29.

21. *Id.* at 130.

22. *Id.*

Table I reproduces the results:

Table I²³

Reason for Discharge	Legal Rule in Missouri	Percent Answering Lawful	Percent Answering Unlawful	Percent Not Answering
1. Employer plans to hire another person to do same job at a lower wage	Lawful	17.8	82.2	0
2. Unsatisfactory job performance	Lawful	92.0	7.7	0.3
3. Retaliation for reporting theft of company property by another employee to supervisor	Lawful	20.8	79.2	0
4. Mistaken belief that employee stole money (employee can prove mistake)	Lawful	10.4	87.2	2.4
5. Retaliation for reporting violation of fire regulations to government agency	Unlawful	8.9	88.7	2.4
6. Lack of work	Lawful	78.6	18.7	2.7
7. Personal dislike of employee	Lawful	8.0	89.0	3.0
8. Retaliation for refusing to participate in illegal billing practice	Unlawful	10.4	87.2	2.4

Of the eight questions, questions 2 and 6 presented rather obvious business reasons for dismissing employees.²⁴ Since these reasons would be considered legal even under a just cause termination statute, they are not particularly useful for assessing a worker's understanding of the at-will

23. *Id.* at 134.

24. *Id.* at 135.

doctrine.²⁵ Kim found that the results of the remaining six questions “indicate that respondents seriously overestimated the level of job security afforded by law.”²⁶ She noted that on average, the survey takers answered 40 percent of these questions incorrectly.²⁷ For all six questions, respondents tended to believe that the employer’s action was unlawful. The majority of respondents were therefore only accurate on the two questions where state law had carved out an exception to the at-will doctrine.²⁸ Kim concluded that the respondents “consistently assumed that an employee cannot be discharged without a good reason, apparently believing that workers have something akin to just cause protection by law.”²⁹

In an effort to test whether geography was affecting the results of the survey, Kim expanded the survey to Buffalo, New York, and San Francisco, California.³⁰ Like workers in Missouri, of the six diagnostic questions, Californians only answered 40 percent correctly.³¹ New Yorkers did significantly worse, answering only 25.2 percent correctly.³² The survey found that overall, with regard to the questions describing activities that would be lawful under a strict interpretation of the at-will doctrine, the results were very consistent between states – the Missouri, New York, and California respondents believed, respectively, that an average of 5.48, 5.53, and 5.37 of the eight questions represented unlawful conduct (when in fact only two questions represented activity that is generally unlawful).³³

Although Kim’s studies supported the findings of the WRPS that many workers think the law affords them more protection than it actually does, Kim has acknowledged that her studies raised some methodological concerns.³⁴ For example, the sample size presents a limitation to the accuracy of the survey. Although altogether her data included 921 observations, almost 27 percent of these responses had to be eliminated from the regression analysis because the respondents failed to complete the form properly.³⁵ Furthermore, public employees generally are not at-will and so may have confused their rights with those of employees in the

25. *Id.*

26. *Id.* at 140.

27. *Id.* at 136.

28. *Id.* at 135-36.

29. *Id.* at 136.

30. Kim, *Norms, Learning, and Law*, *supra* note 1, at 457-58.

31. *Id.* at 458.

32. *Id.*

33. *Id.* at 474.

34. *Id.* at 466.

35. *Id.*

private sector.³⁶ Similarly, unionized employees may think that they have more legal rights than they do because they have contract rights – they are usually covered by just cause contract provisions. Moreover, the studies only targeted unemployment insurance claimants who may not be representative of the workforce as a whole.³⁷

Jesse Rudy, a proponent of the at-will doctrine, replicated Kim's study under conditions designed to limit some of the perceived shortcomings in her methodology.³⁸ Rudy suggested that Kim's sample population, consisting entirely of unemployment insurance claimants, created a cloud of doubt around her data because such claimants might not actively represent active job seekers, let alone the whole workforce.³⁹ By contrast, the cohort of the Rudy study consisted entirely of people currently employed.⁴⁰ Furthermore, Rudy's sample population came entirely from Nebraska and Virginia, two states that strongly adhere to the at-will default rule (eliminating concerns that Kim's results were skewed by the fact that New York and California have carved out more exceptions to the at-will rule than other states).⁴¹

The results of his study were "strikingly similar" to those of Kim's study.⁴² Rudy summarized:

[R]espondents in both studies were confused about the same questions to a similar extent. While Kim's unemployed respondents mistakenly indicated that it was unlawful for an employer to discharge her employee out of personal dislike 89 percent of the time, my employed respondents indicated that they held the same incorrect belief 84 percent of the time. This mirror image of confusion was reflected throughout [the table]. The error rate of respondents for Question 1 – asking about the lawfulness of discharging an employee to hire another at a lower wage – was 82 percent and 77 percent for unemployed and employed respondents, respectively. For Question 4 – asking about the lawfulness of discharge based on a mistaken belief that the employee had stolen money – the error rates for the unemployed and employed respondents were 87 percent and 85 percent respectively, and for Question 8 – asking about the lawfulness of discharging in retaliation for refusing to participate in illegal activity – the error rates were 10 percent and 12 percent respectively. These numbers indicate that employed members of the workforce understand (or misunderstand) the at-will default rule in a way

36. *Id.* at 466-67. However, government employees only represented 6.5 percent of respondents. *Id.*

37. *Id.* at 467.

38. Rudy, *supra* note 1.

39. *Id.* at 315-16.

40. *Id.* at 317.

41. *Id.* at 323-24.

42. *Id.* at 326-27.

that is similar to their unemployed counterparts.⁴³

In short, the Rudy study adds validity to the findings of the Kim studies and the WRPS.

The prevalence of phantom employment rights is also verified by another study. In what the AFL-CIO called "the most exhaustive study ever conducted on workers' rights,"⁴⁴ it commissioned the Peter D. Hart Research Associates to conduct one of the largest surveys of the American public regarding their attitudes about their jobs and their employers.⁴⁵ From July 5 through July 9, 2001, the telephone survey canvassed the opinions of 1792⁴⁶ adults.⁴⁷

The study asked several questions testing whether members of the American public understood their employment rights. Half of the survey-takers were told: "I'm going to mention some legal actions that an employer might take, and for each one, please tell me, from what you know, whether an employer can or cannot legally take that action."⁴⁸ The questions and results are summarized in Table II.

43. *Id.*

44. AFL-CIO, *Workers' Rights in America: What Workers Think About Their Jobs and Employers* (2001), available at <<http://www.aflcio.org/mediacenter/resources/upload/2001LaborDayWorkersRightsinAmerica.pdf>> (last visited July 7, 2008).

45. See Porter Anderson, *AFL-CIO Releases "Workers' Rights" Study*, CNN CAREER, Aug. 30, 2001, available at <www.cnn.com/2001/CAREER/trends/08/30/afl.cio.study> (last visited July 5, 2008).

46. Ultimately, only 801 responses were incorporated into the data analysis, presumably because the other opinions were left incomplete. Peter D. Hart Research Associates, Inc., *supra* note 1.

47. See Jessica Reaves, *Are American Workers Mad As Hell?*, TIME.COM, Aug. 30 2001, <<http://www.time.com/time/nation/article/0,8599,173175,00.html>> (last visited July 5, 2008). The surveyors made no mention that the study was commissioned by the AFL-CIO. The script the surveyors used to introduce themselves is as follows:

I'm calling from Hart Research, the national public opinion polling firm. I'd really appreciate the chance to get your opinions on a few questions. Your number was selected at random, and in this household I am supposed to speak with the (youngest/oldest) (man/woman) age 18 or over who is at home now. This is a public opinion survey, and you will not be sold anything. Peter D. Hart Research Associates, Inc., Phone Script for AFL-CIO Worker Rights, Study #6358 (on file with the author).

48. Peter D. Hart Research Associates, Inc., *supra* note 47, question 23a. This question was not asked of all respondents. The survey was divided into two forms, and this question appeared only on Form A. *Id.*

Table II⁴⁹

	Percent Answering Employer Can Legally Take Action	Percent Answering Employer Cannot Legally Take Action	Percent Not Sure	Actual Legality in Most States
1. Refuse to hire someone because of their race or ethnicity	8	91	1	illegal
2. Fire an employee for supporting union representation	14	80	6	illegal
3. Fire an employee for expressing political views the employer disagrees with	15	80	5	legal
4. Refuse to hire someone for a job because genetic testing reveals that he or she is at risk for health problems	23	67	10	usually legal ⁵⁰
5. Listen in on an employee's personal phone calls without the employee's knowledge	30	66	4	usually legal ⁵¹
6. Fire an employee with a good performance record without giving a reason	32	64	4	legal
7. Refuse to provide sick leave to employees	33	60	7	legal
8. Use video cameras and tape recorders to monitor employees without their knowledge	38	55	7	legal ⁵²

49. Peter D. Hart Research Associates, Inc., *supra* note 1, tbls. 266-73.

50. Iowa, New Hampshire, New York, Oregon, Rhode Island and Wisconsin had, at the time of the survey, some form of law prohibiting employers from requiring genetic tests or using genetic health predictions in employment decisions. AFL-CIO, *supra* note 44, at 17.

51. Federal law allows unannounced monitoring of phone calls if they are business-related; the employer is allowed to listen long enough to determine whether the call is business-related. *Id.*; see also WILLBORN ET AL., *supra* note 8, at 266-67 (discussing federal laws and cases).

52. Connecticut law prohibits video monitoring "in areas designated for the health or personal comfort of employees or for safeguarding their possessions or contract negotiations." AFL-CIO, *supra* note 44, at 17.

Although raising methodological concerns similar to those present in Professor Kim's study (and perhaps more severe),⁵³ the results of this study confirm that there is a widespread belief among the public in phantom employment rights.⁵⁴ Since none of the questions is identical, a direct comparison between Professor Kim's results and the results of the Peter D. Hart Research study (Hart study) is not possible. Because Professor Kim's test only asks about the legality of terminations, her questions tend to be narrowly geared towards employee understanding of the at-will doctrine. The Hart study tests this understanding as well as employee understanding of privacy and political rights at work. Nevertheless, the three scenarios in the Hart study that do test an employee's knowledge of when an employer can or cannot legally terminate an employee – questions 2, 3 and 6 – generally show results comparable to those of Professor Kim's study. Of the diagnostic questions in Kim's Missouri study, 79.2 to 89.0 percent of workers believed that all the reasons for termination, except for unsatisfactory job performance and lack of work, were illegal, whether or not they actually were illegal.⁵⁵ Similarly, 80 percent of those surveyed in the Hart study believed both that an employer cannot legally fire an employee for supporting union representation (correct) and that an employer cannot fire an employee for expressing political views the employer disagrees with (generally incorrect).⁵⁶ In the other termination question in the Hart study – is it legal for an employer to fire an employee with a good performance record without giving a reason? – 64 percent of respondents answered that they thought this behavior was unlawful (incorrect).⁵⁷ Although the respondents appear to have done better on this question than the termination questions in the Kim and WRPS studies, a large majority nevertheless believed that this act was illegal when it is in fact legal.⁵⁸

53. For example, as with Kim's studies, a cause for concern is the difference between the rights of public employees and unionized employees, on one side, and those that work in the private sector who are not covered by a union contract, on the other. In this study, these concerns are amplified because there were no prefatory comments clarifying that the legal action occurs where there is no contract between the employer and employee or in the private sector.

54. It should be noted that the survey did not necessarily target workers. The only criteria necessary for answering the survey was to be age eighteen or older. Peter D. Hart Research Associates, Inc., *supra* note 47.

55. See Table I, *supra*.

56. See Table II, *supra*.

57. *Id.*

58. The higher percentage of correct answers may be explained by the fact that the phrasing of Question 6 in the Hart study is more procedural than substantive – the question does not ask whether the employer needs to have a reason to terminate the employee but whether it needs to communicate such reason to the employee. Thus, Respondents may have speculated that the question included situations where the employer had a valid business justification but simply did not want to tell the

In sum, while the WPRS, Kim, Rudy, and Hart studies may each contain methodological flaws, their remarkably consistent findings lend strong empirical support to the proposition that the vast majority of employees consistently overestimate their rights under the law. The next Part attempts to understand the causes driving this phenomenon.

III. THE PHANTOM ORIGINS OF PHANTOM EMPLOYMENT RIGHTS

Several authors have attempted to identify the causes of phantom employment rights. As Kim has noted, the high levels of overestimation of employment rights cannot be explained merely by the fact that the public is generally uninformed about the content of law.⁵⁹ What is striking about the studies discussed in Part II is not just that respondents were incorrect about employment protections but that “they answered them in a systematically erroneous way.”⁶⁰ As Freeman and Rogers noted, a larger proportion of workers participating in the WPRS survey incorrectly identified legal employment actions as illegal than would have answered incorrectly if they simply guessed.⁶¹ Kim has argued that phantom employment rights are the product of a psychological process by which employees internalize employment norms, which are broadly perceived as fair, and attribute to those norms mandatory content.⁶² Without relying on norms, Cass Sunstein similarly attributes the existence of phantom rights to confusion between ideals of fairness and the substantive law.⁶³ Cynthia Estlund has added to these theories by suggesting that phantom rights may be a byproduct of employer overestimation of their risk of wrongful discharge liability.⁶⁴ This Part evaluates these theories and determines that while they provide insight into the potential causes for the prevalence of phantom employment rights, they do not fully account for the phenomenon. Instead, this Part suggests that, somewhat ironically, protective workplace regulations themselves are largely to blame for the overestimation of employment rights.

A. Confusion between Norms and the Law

Kim has argued that phantom employment rights derive from

employee the reason for its decision.

59. Kim, *Norms, Learning, and Law* *supra* note 1, at 478-79.

60. *Id.* at 479.

61. FREEMAN & ROGERS, *supra* note 1, at 148.

62. Kim, *Norms, Learning, and Law* *supra* note 1.

63. Sunstein, *supra* note 3, at 230-31.

64. Estlund, *supra* note 3, at 10-14.

confusion in distinguishing between norms and law.⁶⁵ She explains:

Holding strong beliefs about fair play in the context of the employment relationship, [workers] mistakenly assume that these fairness norms governing employee discharges coincide with legally enforceable rules. This confusion of norms and law accounts for both the content and the persistence of workers' mistaken beliefs about the law.⁶⁶

In other words, Kim posits that phantom rights result from the conflation of morally obligatory workplace norms with legally enforceable workplace laws.

This theory depends heavily on the claim that phantom employment rights tend to reflect workplace "norms" that constitute regular or typical behavior.⁶⁷ A substantial body of literature supports this claim. Observers have often noted the existence of an internal labor market (ILM) which reflects entrenched norms that frequently govern employer/employee behavior in nonunion firms.⁶⁸ As Rock and Wachter have described, the ILM norms generally provide for the following terms:

[W]ages increase with seniority; a business downturn results in employee layoffs rather than wage reductions; if layoffs occur, junior workers lose their jobs before senior workers; *discharges are for cause*; if an employer catches an employee shirking, the employer will discharge the employee rather than reduce his wages; and if firms discharge older workers before younger workers, they do so through voluntary retirement mechanisms in which the firm buys out the "contract" of the older worker.⁶⁹

65. Kim, *Norms, Learning, and Law*, *supra* note 1, at 452.

66. *Id.*

67. As Erik Posner has observed, "norms" represent a "slippery" concept that is used in different ways by scholars. Eric A. Posner, *Law, Economics, and Inefficient Norms*, 144 U. PA. L. REV. 1697, 1699 (1996). While academics use the term "norms" in different ways, the concept almost always requires the behavior in question to be regular or typical. See, e.g., BLACK'S LAW DICTIONARY 1086 (Bryan A. Garner, ed., 8th ed. 2004) (defining "norm" as "[a]n actual or set standard determined by the typical or most frequent behavior of a group"). Many theorists use the term to refer to behavior that is not only typical but with which there is also a psychological or moral obligation to comply. See Robert D. Cooter, *Decentralized Law for a Complex Economy: The Structural Approach to Adjudicating the New Law Merchant*, 144 U. PA. L. REV. 1643, 1656-57 (1996). Kim, for example, adopts the view that norms exist where there are "broadly shared expectations of how *others* should act in a given situation." Kim, *Norms, Learning, and Law*, *supra* note 1, at 485 (emphasis in original).

68. See, e.g., Walter Kamiat, *Labor and Lemons: Efficient Norms in the Internal Labor Market and the Possible Failures of Individual Contracting*, 144 U. PA. L. REV. 1953 (1996); Edward B. Rock & Michael L. Wachter, *The Enforceability of Norms and the Employment Relationship*, 144 U. PA. L. REV. 1913, 1921 (1996); Michael L. Wachter & Randall D. Wright, *The Economics of Internal Labor Markets*, 29 INDUS. REL. 240 (1990). These norms are notably different from those governing relations between firms and potential applicants, i.e., the external labor market. See Rock & Wachter, *supra*, at 1922.

69. Rock & Wachter, *supra* note 68, at 1921 (emphasis added). Rock and Wachter observed that "[t]he ILM literature takes these stylized facts as given, and seeks an explanation for their persistence. There is general agreement that these stylized facts describe the general practice in non-union firms, even if there are departures in various firms at various times." *Id.* at 1921 n.20.

These non-binding ILM terms, which mimic the formal and legally-binding terms of union contracts,⁷⁰ are often said to form the basis of a “psychological contract” between employees and employers in nonunion firms.⁷¹

The ILM norms evolved out of the application of scientific management theories that strongly endorsed employment structures consisting of hierarchical and predictable job ladders.⁷² Such management strategies are intended to encourage long-term employment with a single firm, which labor economists consider an efficient means for solving strategic problems that threaten joint-profit maximization.⁷³ The implied terms benefit employees by providing job security and mapping out future expectations. This in turn benefits employers by limiting burdensome and recurring costs associated with training and by incentivizing productive employees (especially after they have acquired valuable firm-specific knowledge) to stay with the firm (even when underpaid in relation to their output) based on future earning potentials.⁷⁴ Furthermore, employers benefit because long-term employees are thought to exhibit higher morale and productivity than short-term employees.⁷⁵ Finally, application of the ILM norms has the salutary effect, from the point of view of employers, of reducing the risk of industrial action or union organization on the part of employees.⁷⁶

70. See Kamiat, *supra* note 68, at 1955 n.1; Rock & Wachter, *supra* note 68, at 1927.

71. See, e.g., Robert C. Bird, *Employment as a Relational Contract*, 8 U. PA. J. LAB. & EMP. L. 149, 166-67 (2005); Katherine V.W. Stone, *The New Psychological Contract: Implications of the Changing Workplace for Labor and Employment Law*, 48 UCLA L. REV. 519, 524 (2001). As Bird has described, “[n]ot contracts in the legal sense, psychological contracts emerge when an employee perceives that contributions she makes obligate her employer to reciprocal acts. Psychological contracts result in expectations by the employee that the employer will behave in a certain fashion based upon promises or past practices.” Bird, *supra*, at 165.

72. See Stone, *supra* note 71, at 529-39.

73. See Rock & Wachter, *supra* note 68, at 1922. In particular, the ILM norms reflect efficiencies related to the fact that the longer an employee stays with a given firm and thus acquires firm specific knowledge and expertise, the more valuable the employee is likely to be for that firm and, conversely, the less valuable the employee will eventually become to other firms. See Kamiat, *supra* note 68, at 1955.

74. See Stone, *supra* note 71, at 537-39.

75. *Id.* at 539.

76. See Stone, *supra* note 71, at 534 (noting that human relations experts found the ILM norms were useful in preventing industrial action); Charles B. Craver, *Continuing to Treat Workers Like Widgets and Digits*, 7 U. PA. J. LAB. & EMP. L. 747, 757 (2005) (reviewing KATHERINE V.W. STONE, FROM WIDGETS TO DIGITS: EMPLOYMENT REGULATION FOR THE CHANGING WORKPLACE (2004) and arguing that the role of unions in establishing the ILM has been underappreciated). This observation is consistent with the theory of the “union threat effect,” which posits that the existence of unions tends to benefit all workers, including those not in the union, because nonunion employers attempt to assimilate working conditions to those of union firms to prevent union formation or industrial discord. See, e.g., Harry S. Farber, *Nonunion Wage Rates and the Threat of Unionization*, 58 INDUS. & LAB. REL. REV. 335 (2005) (discussing the union threat effect in relation to wage rates); Lawrence Mishel & Matthew

Some authors argue that recent trends in the labor market have seriously eroded employee expectations of long-term job tenure,⁷⁷ calling into doubt whether the ILM terms described above remain the dominant paradigm in employment relations.⁷⁸ However, even if it is true (as it likely is) that expectations of long-term job tenure have diminished, there is little evidence that norms of fair play and just cause dismissal have been undermined in the process.⁷⁹ Indeed, to the contrary, recent years have seen the proliferation of corporate codes and systems of employer self-regulation designed, at least in part, to reassure workers that they will be treated fairly.⁸⁰ Thus, Kim's thesis that just cause dismissals and concepts of fair play constitute typical employer conduct likely remains well-founded.

While just cause dismissals and other ILM norms likely remain typical or normal employer behavior, this fact alone cannot adequately explain the phenomena of phantom employment rights. Otherwise, all acts of nonconformity would be synonymous in the public mind with illegality. According to Kim, however, just cause dismissals not only represent a norm in the sense of behavior that is typical, but also in the deeper sense of behavior that is internalized so as to become psychologically obligatory.⁸¹ In support of this suggestion, Kim cites a number of studies that

Walters, *How Unions Help All Workers* (Econ. Pol'y Inst., Briefing Paper No. 143, 2003), available at <http://www.epi.org/content.cfm/briefingpapers_bp143> (last visited July 6, 2008) (reviewing literature on union threat effect).

77. For an overview of these changes and how they have affected job security and other employment terms, see generally ON THE JOB: IS LONG-TERM EMPLOYMENT A THING OF THE PAST? (David Neumark ed., 2000); see also DAVID I. LEVINE ET AL., HOW NEW IS THE "NEW EMPLOYMENT CONTRACT"? (2002) (finding the evidence that during the 1980s and 1990s there was a large-scale shift in the structure of employment arrangements that undermined long-term employment to be suggestive but not conclusive).

78. In particular, Stone has argued that such terms belonged to the old psychological contract between employees and employers that has steadily eroded. KATHERINE V. W. STONE, FROM WIDGETS TO DIGITS: EMPLOYMENT REGULATION FOR THE CHANGING WORKPLACE (2004); Katherine V.W. Stone, *Revisiting the At-Will Employment Doctrine: Imposed Terms, Implied Terms, and the Normative World of the Workplace*, 36 IND. L. J. 84 (2007); Stone, *supra* note 71. In the new workplace of the twenty first century, she argues, neither an employee nor an employer expects the employee to spend his or her career with a single employer. Stone, *supra* note 71, at 546-47. She notes that today a young American with two years of college education should expect to change jobs at least eleven times over the course of his or her career and change his or her skill base at least three times. *Id.* at 548.

79. This is especially true if one takes a broad view as to what constitutes a legitimate business reason for terminating employment, which would be legal under a just cause regime. Thus, for example, in a competitive global economy, a legitimate business purpose may justify breaching the ILM norm of laying off junior workers before more senior workers, given that junior workers likely receive less pay.

80. See generally Cynthia Estlund, *Rebuilding the Law of the Workplace in an Era of Self-Regulation*, 105 COLUM. L. REV. 319 (2005); see also Bird, *supra* note 71, at 170-85 (discussing proliferation of corporate codes, codes of ethics and other changes in organizational culture designed to ensure workers of fair treatment).

81. Kim, *Norms, Learning, and Law*, *supra* note 1, at 484.

demonstrate that workers believe that employers have an ethical or moral obligation to abide by a just cause regime.⁸² Kim suggests that the widespread moral condemnation of arbitrary or bad-faith discharges stems from the expectations created by the typical ILM practices.⁸³ She concludes that “[t]he close parallel between normative beliefs about an employer’s obligations and lay understanding of the law strongly suggests that the former beliefs may account for the mistaken views of the law documented in this study.”⁸⁴ To paraphrase, Kim argues that employees ultimately come to believe that the terms of the psychological employment contract, which they deem as fair and obligatory, are legally mandated.

While Kim’s theory is a significant contribution to uncovering the origins of phantom rights, it has some shortcomings. First, Kim’s theory seems to rely on norms only to the extent they serve as a progenitor of moral obligations to refrain from conduct inconsistent with a just cause regime. However, unless one adopts a radically materialist or relativist viewpoint, determinations of what constitutes “just” employer conduct need not emerge from or even resemble norms. While norms may shape values, normal or typical behavior may nevertheless be perceived of as unjust. For example, while condemnation of unsafe working conditions, child labor, or slavery are virtually ubiquitous, in some places they nevertheless continue to constitute normal, or at least typical, behavior. Thus, the fact that employment norms are generally consistent with moral obligations in no way demonstrates that the norms are responsible for generating such perceived moral obligations.

Furthermore, even if ILM norms are internalized so as to establish moral obligations, they still do not adequately account for the phenomenon of phantom legal rights. As Sunstein has observed, citing incivility as an example, people are often quite capable of distinguishing norms, including those that give rise to moral obligations, from legally mandated practices.⁸⁵ Indeed, for many theorists, a central characteristic of norms is that they

82. *Id.* at 486-89. One such study found that depending on age group, between 86 percent and 93 percent of respondents in Omaha, Nebraska believed it was unethical to terminate an employee without a reason. Frank S. Forbes & Ida M. Jones, *A Comparative, Attitudinal, and Analytical Study of Dismissal of At-Will Employees Without Cause*, 37 LAB. L.J. 157, 165 (1986). Another study conducted in Syracuse, New York found that a large majority of respondents believe the legal system should protect employees discharged for reporting or refusing to participate in illegal or unethical activities. Elletta Sangrey Callahan, *Employment at Will: The Relationship Between Societal Expectations and the Law*, 28 AM. BUS. L.J. 455, 470-72 (1990). As will be discussed *infra*, the far more recent Hart study confirms that workers generally believe that a number of employer actions that are legal under the at-will rule are not acceptable.

83. Kim, *Norms, Learning, and Law*, *supra* note 1, at 484.

84. *Id.* at 489.

85. Sunstein, *supra* note 3, at 230.

invoke non-legal sanctions.⁸⁶ Kim's theory fails to explain why the ILM norms, in particular, are confused with legal obligations. Therefore, while phantom rights may likely have "something to do with the perceived norms of the workplace," such norms in and of themselves are not "the whole explanation."⁸⁷

B. Fairness and Phantom Rights

Sunstein, like Kim, has highlighted confusion between fairness and the law in explaining phantom employment rights, albeit without asserting that notions of fairness arise from the operation of norms.⁸⁸ Relying on research in behavioral economics and cognitive psychology that suggests that people tend to be optimistic and that their conception of fairness tends to be systematically skewed in their own direction, Sunstein speculates broadly: "Perhaps people believe that the law is generally fair, and their judgments about what is fair lead to (mistaken) judgments about what the law is."⁸⁹

As Kim noted, empirical studies demonstrate that where respondents are likely to believe certain employer conduct to be unlawful they are also likely to believe that it is unfair or immoral.⁹⁰ The Hart study provides further empirical support in this regard. Recall that there only half of the respondents were asked whether the employer actions listed in Table II were legal or not.⁹¹ The other half of respondents was asked whether the same employer actions were "acceptable"⁹² or not.⁹³ The results of this second question are reproduced in Table III.

86. See, e.g., Douglas Litowitz, *A Critical Take on Shasta County and the "New Chicago School,"* 15 YALE J.L. & HUMAN. 295, 295 (2003) (defining norms as "nonlegal rules of behavior that are enforced by private individuals through social sanctions such as gossip and ostracism") (footnote omitted); see also RICHARD POSNER, *FRONTIERS OF LEGAL THEORY* 288 (2001) ("A social norm . . . is a rule that is neither promulgated by an official source, such as a court or a legislature, nor enforced by threat of legal sanctions, yet is regularly complied with.").

87. Sunstein, *supra* note 3, at 230.

88. *Id.* at 230-31. Sunstein seems to fault Kim for not considering the influence of concepts of fairness in her theory of the origins of phantom rights. *Id.* at 230. However, as noted above, notions of fairness play a key role in Kim's theory.

89. *Id.* at 231.

90. See *supra* note 82 and accompanying text.

91. See *supra* note 48 and accompanying text.

92. While the term "acceptable" is unfortunately ambiguous (indeed, it is possible that some respondents may have read into the question the legality of the act), the term likely elicits responses based on whether the respondent believed the action to be appropriate or fair.

93. The respondents were told: "I'm going to mention some actions that an employer might take, and for each one, please tell me whether you personally think that is an acceptable or unacceptable action for an employer to take." Peter D. Hart Research Associates, Inc., *supra* note 47.

Table III⁹⁴

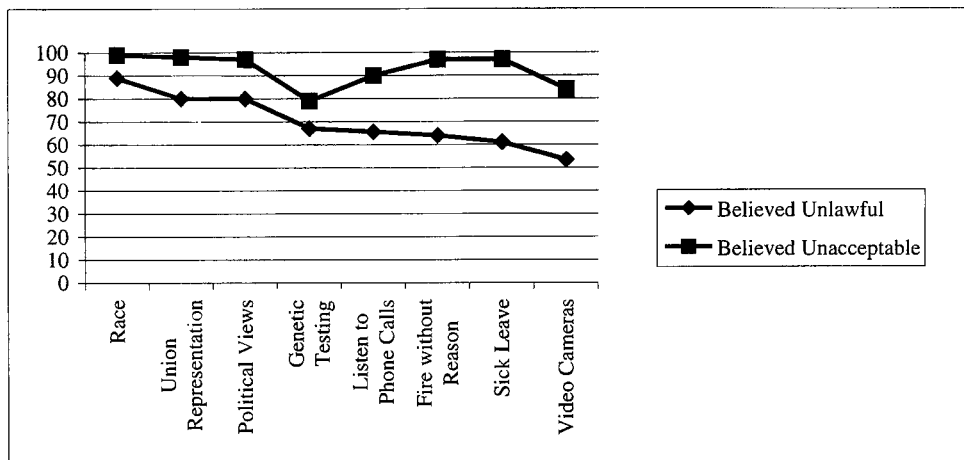
	Percent Answering Action is Acceptable	Percent Answering Action is Unacceptable	Percent Not Sure
1. Refuse to hire someone because of their race or ethnicity	1	98	1
2. Fire an employee for supporting union representation	4	94	2
3. Fire an employee for expressing political views the employer disagrees with	3	96	1
4. Refuse to hire someone for a job because genetic testing reveals that he or she is at risk for health problems	10	83	7
5. Listen in on an employee's personal phone calls without the employee's knowledge	6	93	1
6. Fire an employee with a good performance record without giving a reason	4	95	1
7. Refuse to provide sick leave to employees	3	95	2
8. Use video cameras and tape recorders to monitor employees without their knowledge	13	84	3

Table III strongly confirms that there is near universal disapproval of a number of acts that are usually legal under the at-will doctrine.

However, if confusion between fairness and legality is the driving force behind phenomenon of phantom employment rights, as Kim and Sunstein suggest, one might expect that the higher the percentage of workers that believe a given action to be unacceptable, the higher the percentage of workers that will believe the action also to be unlawful. Chart I compares the data sets.

94. Peter D. Hart Research Associates, Inc., *supra* note 1, tbls. 274-80, 308.

Chart 1



Although far from conclusive, the chart shows little or no correlation between the percentage of respondents that believed a given act was unlawful and the percentage believing that the act was unacceptable. However, the nearly universal disapproval of six of the eight acts complicates efforts to establish a correlation. With the exception of the genetic testing and video camera questions, 93 percent to 98 percent of survey takers believed that all the employer actions were unacceptable – only a 5 percent variance. In contrast, the range for answers regarding the legality of these actions spread from 60 percent to 91 percent. Thus, the question of whether a given employer action is legal provoked far less homogenous responses than questions about whether the same actions were acceptable, suggesting that a number of individuals may believe an employer action is not acceptable but still legal.

Ultimately, while the Hart study reconfirms that there is widespread disapproval of actions legal under the at-will regime, it provides little in the way of evidence that phantom employment rights stem from confusion between what is fair and what is legal. Nevertheless, given the high proportion of respondents that believe both that certain acts were illegal and unacceptable, the idea that concepts of fairness contribute to the phenomenon of phantom rights remains highly plausible. However, to use Sunstein's own words about norms in this context, it simply "cannot be the whole explanation."⁹⁵ As with norms, people often distinguish between what is fair and what is legally required. Whether it be petty misconduct (e.g., cutting in line at the grocery store) or a significant economic and

95. Sunstein, *supra* note 3, at 230.

psychological wrong (e.g., cheating on a significant other; the decision of an important business client to use a new service provider despite decades of service loyal service for arbitrary reasons such as nepotism; a parent's disinheriting of a child based on immoral reasons), the world is full of harsh or unfair realities that do not necessarily send people running to their lawyers. Thus, a further explanation for the phenomenon of phantom rights is necessary.

C. Employer Overestimation of Litigation Risk

Cynthia Estlund has suggested two additional reasons for why employees may overestimate their legal protections.⁹⁶ First, she argues, employees may ignore broadly written contractual provisions that claim for the employer the right to fire "at any time, for any reason," because they know such clauses must be false, at least in some circumstances, as the illegality of employment discrimination is common knowledge.⁹⁷ While this suggestion helps explain why employees ignore overbroad at-will clauses that claim to waive rights employees know they have, it does nothing to explain why employees overestimate the number of rights they think they have (but in fact do not).

Second, Estlund postulates that employer overestimation of the risk of a wrongful discharge suit contributes to the phenomenon of phantom rights.⁹⁸ She notes that a RAND study concluded that employers treat the costs of wrongful discharge exposure as a hundred times greater than the estimated actual cost.⁹⁹ A consequence of this overestimation of risk is that it encourages employers to expand internal dispute resolution mechanisms, or, as Estlund refers to it, "internal due process" (IDP).¹⁰⁰ IDP typically consists of hearings at which the employee can contest adverse actions before a somewhat disinterested official.¹⁰¹ While IDP offers some amount of procedural protections against arbitrary discharge, substantively the employee remains at-will.¹⁰² Employers benefit because this system helps

96. Estlund, *supra* note 3, at 10-14.

97. *Id.* at 11.

98. *Id.*

99. *Id.* (citing JAMES N. DERTOUZOS & LYNN A. KAROLY, LABOR-MARKET RESPONSES TO EMPLOYER LIABILITY (1992)). As Estlund notes, Lauren Edelman and her colleagues have hypothesized that one reason for this overestimation of liability costs stems from the fact that human relations consultants and managers have reason to exaggerate this threat, as their utility to employers is heavily dependent on their ability to prevent such suits. Lauren B. Edelman et al., *Professional Construction of Law: The Inflated Threat of Wrongful Discharge*, 26 LAW & SOC'Y REV. 47 (1992).

100. Estlund, *supra* note 3, at 13.

101. *Id.*

102. *Id.*

“to avoid litigation by resolving disputes within the firm and by flagging actions that are likely to be found or plausibly claimed to be discriminatory, and that they further minimize liability by convincing adjudicators of the fairness of employers’ decisionmaking.”¹⁰³ Estlund argues that the distinction between procedural rights and substantive rights is not intuitively obvious for most people and thus most employees assume that the procedural mechanisms created by their employers reflect a substantive requirement of just cause dismissal.¹⁰⁴

This theory, while compelling, is limited. First, it only applies to employees of firms that have established IDP. However, Estlund acknowledges IDP is mostly limited to certain medium to large-size firms and cannot be said to be near universal.¹⁰⁵ Thus, it does not account for the extremely high numbers of workers that maintain a belief in phantom rights. More generally, Estlund’s explanation simply provides more detail to Kim’s hypothesis that most employees experience a norm of just cause dismissal in the workplace and confuse this norm with the law. After all, the IDP that Estlund describes is nothing more than an ILM strategy. As such, Estlund’s theory remains vulnerable to Sunstein’s observation that people are usually capable of distinguishing practices from rights.

D. The Phantom Cause – Current Employment Law Regime

While the theories discussed above provide helpful clues to understanding the prevalence of phantom employment rights, they suffer from a common drawback—in many other contexts individuals are capable of distinguishing between that which is typical, fair, or voluntary, and that which is legally mandated. The problem thus remains, why is it that employees fail to make this distinction in the context of phantom employment rights? A possible answer to this question is that the confusion derives from the fact that most people are aware that the employment relationship is regulated but they do not know the positive content of such regulations. To fill the vacuum, employees draw on norms, concepts of fairness, and observed employer behavior as clues to what is and is not legally permissible. However, because the law of employment relations in the United States neither mandates the application of typical employment norms nor protects against numerous types of unscrupulous employment actions that most people would consider unethical or unfair, norms and

103. *Id.* at 14.

104. *Id.* at 14-15.

105. *Id.* at 14.

concepts of fairness are particularly poor proxies for substantive law in this field. In this way, the proliferation of workplace regulation paradoxically contributes to the phenomenon of phantom rights.

Employment regulation in the United States evolved piecemeal and without internal coordination, creating a legal landscape more infrastructurally akin to a labyrinthine medieval city than the logical grids of modern urban planning. Legal protections in favor of employee rights were virtually non-existent in the late nineteenth and early twentieth century. Indeed, at that time, workers tended to view the law suspiciously if not outright antipathetically.¹⁰⁶ During the infamous “Lochner era,” mistrust of the judiciary became particularly acute as the Supreme Court invalidated numerous nascent legislative attempts at industrial workplace regulation and stretched the reach of antitrust laws to frustrate collective action by workers.¹⁰⁷ The employment relationship was viewed by the Court as a constitutionally protected contractual relationship between individuals (whereby one sold his or her labor to another), which the government could only intrude upon where its interests were compelling and its means narrowly proscribed.¹⁰⁸

With the New Deal came renewed legislative initiatives to provide protections for workers, and ultimately a significant shift in the Supreme Court’s attitudes toward the constitutionality of employment regulations.¹⁰⁹ However, governmental protections for employees remained exceedingly

106. See, e.g., Ken Matheny & Marion Crain, *Disloyal Workers and the “Un-American” Labor Law*, 82 N.C. L. REV. 1705, 1716 (2004) (noting that union organizers such as Eugene Debs learned that workplace organizing could “lead to their being branded traitors, spies, and saboteurs vis-à-vis the state”).

107. See, e.g., *Ribnik v. McBride*, 277 U.S. 350 (1928) (striking down regulation of employment agencies), *Adkins v. Children’s Hosp. of D.C.*, 261, U.S. 525 (1923) (striking down state minimum wage for women), *Truax v. Corrigan*, 257 U.S. 312 (1921) (striking down restrictions on the use of injunction in labor disputes); *Hammer v. Dagenhart*, 247 U.S. 251 (1918) (striking down federal law prohibiting interstate distribution of products made using child labor), *Coppage v. Kansas*, 236 U.S. 1 (1915) (striking down state prohibition on “yellow-dog” contracts), *Adair v. United States*, 208 U.S. 161 (1908) (striking down federal prohibition on “yellow-dog” contracts), *Loewe v. Lawlor*, 208 U.S. 274 (1908) (holding that the antitrust laws prohibit the collective action of workers), *Lochner v. New York*, 198 U.S. 45 (1905) (striking down maximum hour law for bakers). It is worth noting that during this era a few employment regulations did escape judicial review and became law. Most notably, workers’ compensation statutes successfully supplanted tort litigation as a method of resolving disputes over workplace injuries. See Richard A. Bales, *The Discord Between Collective Bargaining and Individual Employment Rights: Theoretical Origins and Proposed Reconciliation*, 77 B.U. L. REV. 687, 697 (1997). Similarly, the Federal Employers’ Liability Act was enacted in 1908, and provided remedies for injured employees of common carriers. Federal Employers’ Liability Act, ch. 149, § 1, 35 Stat. 65 (1908) (codified at 45 U.S.C. §§ 51-60 (2000)).

108. See, e.g., *Lochner*, 198 U.S. at 57-64.

109. See *West Coast Hotel*, 300 U.S. at 379 (upholding state minimum wage law); *NLRB v. Jones & Laughlin Steel Co.*, 301 U.S. 1 (1937) (upholding federal legislation aimed at guaranteeing the right of workers to form and maintain unions).

narrow. Significantly, the New Deal's goals to "reduce industrial strife, restore mass purchasing power, promote a fairer distribution of economic resources, and further self-government by workers," were not to be achieved by subjecting employers to a broad array of regulation.¹¹⁰ Rather, the "primary vehicle for improving wages and working conditions"¹¹¹ was to be promoted through "the practice and procedure of collective bargaining."¹¹² The National Labor Relations Act (NLRA), which did not directly impact any specific terms and conditions of employment but was instead intended to provide a mechanism for employees to collectivize and negotiate with employers, was the cornerstone of this approach.¹¹³ The only significant New Deal governmental incursion into managerial autonomy with regard to establishing the terms and conditions of employment were embodied in the Fair Labor Standards Act (FLSA), which provided nationwide minimum wage and overtime protections for many workers.¹¹⁴ However, the FLSA was viewed as "secondary to and largely supportive of collective bargaining."¹¹⁵ Thus, other than establishing a basic floor to pay, the New Deal model left the employment relationship largely unregulated save for the fact that inequality in bargaining power between employer and employees could be offset where workers chose to form unions.

In contrast, the last forty years have witnessed a significant break from the New Deal model, as governmental constraints on managerial prerogatives have proliferated. These governmental constraints include a hodgepodge of federal and state legislation and a menagerie of judicially-concocted doctrinal innovations. Significantly, the proliferation of governmental regulation did not sprout from any one comprehensive or unified reconceptualization of the nature of employment relationship but instead represents a patchwork of ad hoc remedies designed to prohibit specific egregious acts of employer opportunism or misconduct.

The result is a dizzying array of employment laws that, on their face, appear to afford rather comprehensive protection. On the federal level, the

110. See James J. Brudney, *Reflections on Group Action and the Law of the Workplace*, 74 TEX. L. REV. 1563, 1564-65 (1996).

111. Cynthia Estlund, *Rebuilding the Law of the Workplace in an Era of Self-Regulation*, 105 COLUM. L. REV. 319, 328 (2005).

112. 29 U.S.C. § 151 (2000).

113. See, e.g., Bales, *supra* note 107, at 688.

114. Fair Labor Standards Act, ch. 676, § 6, 52 Stat. 1062 (1938) (codified at 29 U.S.C. §§ 201-19 (2000)).

115. Estlund, *supra* note 111, at 328-29; see Bales, *supra* note 107, at 698; Stephen F. Befort, *Labor and Employment Law at the Millennium: A Historical Review and Critical Assessment*, 43 B.C. L. REV. 351, 353-57 (2002) (describing the lack of regulations applying to the non-unionized workforce in 1950).

government has provided protection against employment discrimination on the basis of race, religion, sex, national origin,¹¹⁶ as well as age¹¹⁷ and disability.¹¹⁸ Since the 1970s the federal government has also regulated safety conditions¹¹⁹ and employer healthcare and retirement benefit programs (although the government does not mandate that employers establish such programs).¹²⁰ In the 1990s, the federal government further enacted laws requiring larger employers to afford employees temporary leave for certain family or medical emergencies.¹²¹ During the same forty-year period, the United States Supreme Court, too, augmented worker protections beyond what had previously been recognized by vesting public-sector employees with constitutional First Amendment¹²² and due process¹²³ claims. Meanwhile, state legislatures enacted their own anti-discrimination, whistleblower, minimum wage, and overtime statutes.¹²⁴ Not to be left out of the fray, state courts have contributed to increased workplace legal protection through important doctrinal innovations intended to curb the severity of the at-will doctrine, such as broadening the criteria for demonstrating an implied employment contract,¹²⁵ incorporating covenants of good faith and fair dealing into the employment contract,¹²⁶ and prohibiting dismissals taken contrary to public policy.¹²⁷

The combined effect of these multiple reforms is a situation where, on the one hand, employees know that the employment relationship is highly regulated but, on the other hand, do not know the specifics of the protections afforded by the law. With regard to the former, it is evident that the legislative and doctrinal innovations noted above have not bypassed public notice. Many of these innovations were very controversial at one

116. Title VII of the Civil Rights Act of 1964, Pub. L. No. 88-352, 78 Stat. 253 (1964) (codified at 42 U.S.C. § 2000e (2000)).

117. Age Discrimination in Employment Act (ADEA), Pub. L. No. 90-202, 81 Stat. 602 (1967) (codified at 29 U.S.C. §§ 621-34 (2000)).

118. Americans with Disabilities Act of 1990 (ADA), Pub. L. No. 101-336, 104 Stat. 328 (1990) (codified at 42 U.S.C. §§ 12101-117 (2000)).

119. Occupational Safety and Health Act of 1970 (OSHA), Pub. L. No. 91-596, 84 Stat. 1590 (1970) (codified at 29 U.S.C. § 651-75 (2000)).

120. Employment Retirement Income Securities Act (ERISA), Pub. L. No. 93-406, 88 Stat. 832 (1974) (codified at 29 U.S.C. § 1001-191 (2000)).

121. Family and Medical Leave Act of 1993 (FMLA), Pub. L. No. 103-3, 107 Stat. 6 (1993) (codified at 29 U.S.C. § 2601-54 (2000)).

122. *See Pickering v Bd. of Education* 391 U.S. 563 (1968).

123. *See Board of Regents v. Roth*, 408 U.S. 564 (1972).

124. *See, e.g., California Fair Employment and Housing Act*, 1980 Cal. Stat. ch. 992, § 4 (codified at Cal Gov't Code §§ 12900-996 (2008)).

125. *See, e.g., Pugh v. See's Candies, Inc.*, 171 Cal. Rptr. 917 (1981).

126. *See, e.g., Fortune v. Nat'l Cash Register Co.*, 364 N.E.2d 1251 (Mass. 1977).

127. *See, e.g., Adler v. Am. Standard Corp.*, 432 A.2d 464 (Md. 1981); *Johnston v. Del Mar Distrib. Co.*, 776 S.W.2d 768 (Tex. App. 1989).

point and received wide-spread press attention. One need only think of the heated public debates that occurred over race-based discrimination suits in the 1960s and 1970s and sexual harassment suits in the 1980s. Furthermore, the presence of workplace regulations became known through their direct impact on the work environment, as safety signs were placed over workplace hazards, compliance inspectors arrived on the worksite, and Equal Opportunity provisions were prominently displayed on applications and in handbooks.

Regardless of the means of dissemination, that the public caught on to the increase in employment protections is vividly demonstrated by the dramatic rise in lawsuits brought by employees against employers. Between 1971 and 1991, the number of employment suits increased by 430 percent, and over the last thirty years, employment litigation has increased at almost ten times the rate of any other civil litigation.¹²⁸ Extrapolating from the WRPS data, Freeman and Rogers estimated in the 1990s that 14 percent of American workers had used or considered using legal remedies for workplace problems and over 30 percent knew others who either initiated or considered legal remedies.¹²⁹ The public, by and large, is apparently well aware that the law affords them workplace protections.

With regard to the latter, Part II demonstrated that the public does not appear to know the details of what is and what is not protected. This phenomenon is not difficult to understand. While employee protections have multiplied over the last four decades, these protections have created an incredibly complicated regime that lacks doctrinal coherence. As Stephen Befort aptly described the situation: "The current landscape, particularly in the context of employment termination, is garbled by a maze of potential claims and forums."¹³⁰

Not only is there no theory unifying the "scatter-shot"¹³¹ of substantive rights created by federal and state law, but separate rules frequently apply depending on whether a workplace is unionized,¹³² or

128. Befort, *supra* note 115, at 399-400.

129. FREEMAN & ROGERS, *supra* note 1, at 155.

130. Befort, *supra* note 115, at 397. According to Befort, it is not uncommon for a discharged employee to plead claims numbering in the double digits. *Id.*

131. Summers, *supra* note 7, at 528.

132. For example, it is widely recognized that most union contracts contain just cause provisions. See, e.g., Befort, *supra* note 115, at 359 ("[T]he vast majority of [collective bargaining] agreements provide for a 'just cause' limitation on employee discipline and discharge."); J. Hoult Verkerke, *An Empirical Perspective on Indefinite Term Employment Contracts: Resolving The Just Cause Debate*, 1995 WIS. L. REV. 837, 890 ("[V]irtually all collective bargaining agreements include just cause protection."); James E. Westbrook, *A Comparison of the Interpretation of Statutes and Collective Bargaining Agreements: Grasping the Pivot of Tao*, 60 MO. L. REV. 283, 315 (1995) ("I cannot imagine a union not asking for . . . a [just cause] provision"). In contrast, most private sector, non-union

whether an employee is in the private or public sector.¹³³ Moreover, each state has its own set of rules and protections and certain federal claims preempt state laws while others do not.¹³⁴ Whether a statute applies can depend on a variety of fact specific circumstances, including the size of the employer¹³⁵ and the type of work done by the employee.¹³⁶ A statute may frequently contain hundreds of pages of regulatory text fleshing out its provisions.¹³⁷ Furthermore, depending on the facts of a case, the appropriate place to file a claim might be the NLRB, the Wage and Hour Administrator of the Department of Labor, the EEOC, some other federal agency, a state court, or a state agency. Given this bewildering array of rules and foras, even most employment lawyers do not claim expertise over the entire field. If trained lawyers have difficulty mastering this field, it is unrealistic to expect the lay public to grasp its basic principles.

Given that employees are both aware that employment is regulated but not aware of the substance of such regulations, the question remains why employees appear to consistently overestimate their rights? It is in answering this question that the contributions of Kim, Sunstein, and Estlund are particularly useful. In making assumptions about what type of actions the complex legal regime protects, employees likely supply their own concepts of fairness and what they observe as workplace norms. Unfortunately, these assumptions may be wildly inaccurate because the substance of employment law falls far short of rendering legally suspect all unethical managerial conduct or gross violations of employment norms. For example, while federal law may prohibit discrimination based on race, religion, or gender, it does not prohibit arbitrary discrimination in private employment based on obesity, political preference, sexual orientation, attractiveness, or even eye or hair color. Similarly, no law prohibits a

employees remain subject to the at-will rule. *See generally* Joseph E. Slater, *The "American Rule" that Swallows the Exceptions*, 11 EMP. RTS. & EMP. POL'Y J. 53 (2007). *See also supra* note 11 and accompanying text.

133. For example the FLSA contains different overtime provisions for public and private employees. 29 U.S.C. § 207(o) (2000). And the NLRA applies only in the private sector. 29 U.S.C. § 152(2) (2000).

134. Befort has identified no fewer than five different categories of federal claim preemption that involve labor and employment law, each of which requires application of a unique test. Stephen F. Befort, *Demystifying Federal Labor and Employment Law Preemption*, 13 LAB. LAW. 492, 430 (1998).

135. For example, the FMLA applies only to employers that employ fifty or more workers, 29 U.S.C. § 2611(4)(A)(i) (2000), while Title VII of the Civil Rights Act of 1964 applies to employers that employ fifteen or more workers, 42 U.S.C. § 2000e(b) (2000), and the ADEA applies to employers that employ twenty or more workers, 29 U.S.C. § 630(b) (2000).

136. For example, the FLSA exempts executives, administrative employees, and professionals from overtime provisions. 29 U.S.C. § 213(a)(1) (2000).

137. For example, regulations under the FLSA alone occupied over 400 pages of the official 2006 Code of Federal Regulations. *See* 29 C.F.R. §§ 775-94 (2006) (encompassing pages 314-715).

manager from promoting a less diligent junior worker over another employee on the basis of nepotism or because the less diligent worker is a friend or drinking buddy. Moreover, in most states an employee can be fired if an employer does not approve of lawful off-duty conduct, such as smoking cigarettes or engaging in premarital sex, even if such conduct is entirely unrelated to job performance. Thus, as one author has recently stated, "today, even with the presence of numerous exceptions, employment at will leaves American workers some of the most vulnerable to arbitrary discharge in the Western world."¹³⁸

In sum, while confusion between the law and observed norms or concepts of fairness may contribute to the widespread phenomenon of phantom employment rights, this confusion is fostered by the disconnect between knowledge that the workforce is regulated and ignorance of the content of such regulation. Employees are generally acclimated to work environments that observe ILM norms that workers perceive to be fair. When the ensuing psychological contract is broken, workers reasonably, but incorrectly, assume that the vast, dark body of employment regulations provides a remedy. Thus, by casting a shadow much larger than the protection actually afforded, employment laws themselves are largely to blame for the phenomenon of phantom rights. As discussed in the next Part, this shadow also may serve to partially eclipse the collective bargaining model of employment relations as well as support calls for more individually enforceable workplace protections.

IV. NAMING, BLAMING AND MOBILIZING: THE REAL WORLD CONSEQUENCES OF PHANTOM RIGHTS

As has often been observed, the last half-century has marked the decline, if not the collapse, of organized labor in the United States. Union density has receded from nearly 34 percent of the private workforce in 1954¹³⁹ to approximately 7.4 percent today.¹⁴⁰ Scholars have advanced and debated a myriad of theories that attempt to diagnose the cause of labor's slow demise.¹⁴¹ These theories can generally be divided into two

138. Robert C. Bird, *Employment as a Relational Contract*, 8 U. PA. J. LAB. & EMP. L. 149, 160 (2005) (footnote omitted).

139. MICHAEL GOLDFIELD, *THE DECLINE OF ORGANIZED LABOR IN THE UNITED STATES* 10 tbl. 1 (1987).

140. Press Release, Bureau Lab. Statistics, U.S. Dep't Lab., Union Members Summary (January 25, 2007), available at <<http://www.bls.gov/news.release/union2.nr0.htm>>. Astonishingly, union density in the private sector today is less than it was before the 1935 passage of the NLRA, when roughly 15 percent of the private work force was organized. PAUL C. WEILER, *GOVERNING THE WORKPLACE: THE FUTURE OF LABOR AND EMPLOYMENT LAW* 8-9 (1990).

141. As one author put it, "[e]xplaining labor's decline has become something of a cottage

categories: causes that are related to a decline in supply and those related to a decline in demand for unions.¹⁴² Supply-side theories posit that employee appetite for unions remains undiminished – it is powerful external impediments that stymie recourse to collective action. Such impediments include: increasingly brazen employer resistance to unionization;¹⁴³ structural economic changes, such as deindustrialization and the added competition caused by globalization;¹⁴⁴ an internal failure in unions to organize;¹⁴⁵ and the ossification of labor law.¹⁴⁶ Demand-side theories, conversely, hypothesize that unions have lost ground not because of costs or constraints associated with externalities, but because workers no longer find unions appealing. This lack of appeal may stem from negative perceptions about the way unions function in practice (e.g., fears of union corruption or inefficiency),¹⁴⁷ ideological preferences against collective action,¹⁴⁸ or from the fact that today's employees experience higher levels of job satisfaction than those in the past and no longer feel that unions will advance their interests.¹⁴⁹

Demand-side causes are in no way mutually exclusive of supply-side causes and there is considerable consensus that the persistent decline of unions can only be explained by the convergence of multiple factors. Nevertheless, demand-side explanations remain somewhat puzzling in light

industry.” NELSON LICHTENSTEIN, *STATE OF THE UNION: A CENTURY OF AMERICAN LABOR* 215 (2002). See, e.g., CHARLES B. CRAVER, *CAN UNIONS SURVIVE?* 34-55 (1993); GOLDFIELD, *supra* note 139, at 94-112; Cynthia L. Estlund, *The Ossification of American Labor*, 102 COLUM. L. REV. 1527 (2002); Henry S. Farber & Alan B. Krueger, *Union Membership in the United States: The Decline Continues*, in *EMPLOYEE REPRESENTATION: ALTERNATIVES AND FUTURE DIRECTIONS* 105 (Bruce E. Kaufman & Morris M. Kleiner eds., 1993); Richard B. Freeman, *Contraction and Expansion: The Divergence of Private and Public Sector Unionism in the United States*, 2 J. ECON. PERSP. 63 (1988).

142. WEILER, *supra* note 140, at 11.

143. Estlund, *supra* note 141, at 1530.

144. See, e.g., LICHTENSTEIN, *supra* note 141, at 218-25; ROBERT B. REICH, *SUPERCAPITALISM: THE TRANSFORMATION OF BUSINESS, DEMOCRACY, AND EVERYDAY LIFE* 80-87 (2007); Katherine Van Wezel Stone, *Labor and the Global Economy: Four Approaches to Transnational Labor Regulation*, 16 MICH. J. INT'L L. 987, 987-94 (1995).

145. See, e.g., EMPLOYMENT POLICY FOUNDATION, *UNION SUCCESS IN REPRESENTATION ELECTIONS FAILS TO STEM PRIVATE SECTOR MEMBERSHIP LOSSES* (1998) (“U.S. union membership has been falling in absolute terms since the 1980s, and as a share of the total workforce since the 1950s. In the 1950s, unions spent 40 to 50 percent of their members’ dues on organizing. In the 1970s and 1980s, the level fell to about 2 percent of dues – a 20-fold decline from the 1950s. In 1998, unions probably spent 12 percent of dues. Unions took membership for granted for 30 years while the world and the workplace changed.”).

146. Estlund, *supra* note 141, at 1531.

147. See, e.g., ROBERT FITCH, *SOLIDARITY FOR SALE: HOW CORRUPTION DESTROYED THE LABOR MOVEMENT AND UNDERMINED AMERICA’S PROMISE* (2006).

148. See Sharon Rabin Margalioth, *The Significance of Worker Attitudes: Individualism as a Cause for Labor’s Decline*, 16 HOFSTRA LAB. & EMP. L.J. 133, 138 (1998) (arguing that unionization is not compatible with the ideology of expressive independence dominant in the workforce).

149. Farber & Krueger, *supra* note 141, at 118-20.

of the fact that most union members report a high degree of satisfaction with their union. At the time of the WRPS, an overwhelming 90 percent of current union employees indicated that they would vote to continue their union representation.¹⁵⁰ Furthermore, employees represented by unions earn more on average,¹⁵¹ and are more likely to have health care and retirement benefits.¹⁵² Crucially important, unionized employees are also almost always protected from termination without good cause, whereas non-unionized employees are rarely accorded such protection.¹⁵³ This advantage is augmented in the current climate of decreased job security.¹⁵⁴

Given the apparent advantages of joining a union and the high degree of satisfaction of union members, it seems puzzling that more and more American workers decline to exercise their right to act collectively. While there are a number of potential explanations for the decline of unions, the answer cannot include an assertion that protective employment laws have replaced the function of unions in guaranteeing fair-treatment and/or job security. As discussed in Part III, while employment regulations address many of the more egregious acts of employer misconduct, they fall far short of providing a guarantee against unfair or arbitrary treatment. Furthermore, employees that institute legal proceedings against their employer are statistically much more likely to be dissatisfied with the experience than those initiating an employer grievance through a union.¹⁵⁵ Thus, employment laws have not replaced unions in ensuring fair-treatment or job security.

Nevertheless, it is frequently (and persuasively) suggested that the proliferation of exceptions to the at-will rule and the development of other protective employment laws have contributed to the decline of unions and

150. FREEMAN & ROGERS, *supra* note 1, at 98.

151. According to the Bureau of Labor Statistics (BLS), the median weekly salary for full-time wage and salary earners age sixteen and over were as follows: union members – \$833; employees represented by union – \$827; non-union employees – \$642. Press Release, Bureau Lab. Statistics, U.S. Dep't Lab., Union Members in 2006, tbl. 2, available at <<http://www.bls.gov/news.release/union2.t02.htm>> (last viewed Aug. 20, 2008).

152. In 2006, 89 percent of unionized workers in the private sector were enrolled in a medical care plan compared to 68 percent of nonunion workers. BUREAU LAB. STATISTICS, U.S. DEP'T LAB., NATIONAL COMPENSATION SURVEY: EMPLOYEE BENEFITS IN PRIVATE INDUSTRY IN THE UNITED STATES, MARCH 2006, tbl. 1, available at <<http://www.bls.gov/ncs/ebs/sp/ebsm0004.pdf>> (last viewed Aug. 20, 2008). Similarly, 84 percent of unionized employees in the private sector were enrolled in retirement plans compared to 57 percent of nonunion workers. *Id.*

153. See, e.g., James A. Gross, *Incorporating Human Rights Principles into U.S. Labor Arbitration: A Proposal for Fundamental Change*, 8 EMP. RTS. & EMP. POL'Y J. 1, 2 (2004) ("In a fundamental way, what distinguishes unionized employees from at-will employees is that unions have negotiated contractual protection against unjust discipline through 'just cause' limitations on employers' authority to discharge workers.").

154. See generally Stone, *supra* note 71.

155. FREEMAN & ROGERS, *supra* note 1, at 152-54.

the New Deal collective bargaining model.¹⁵⁶ Typical of this argument is that with the advent of “antidiscrimination statutes[] and court decisions that defined discrimination against workers on any basis other than union affiliation as a matter of individual rights,” and other directly-enforceable workplace protections, “[w]orkers learned to individualize workplace concerns that implicated their racial, ethnic, or gender identities and to look to government agencies, private attorneys, and the courts for redress, rather than forming unions and invoking the power of collective action.”¹⁵⁷ This reliance on direct governmental intervention in the labor market not only resonates better with the ideology of expressive individualism characteristic of the U.S. workforce, but also avoids the substantial psychological and fiscal costs of the collective action model, which requires employees to dedicate time to organization, risk employer reprisal, and contribute the expense of union dues.¹⁵⁸ Other than the expense and time consuming nature of litigation, the cost of direct governmental intervention in the labor market is generally borne by the public through funding enforcement agencies and courts. Moreover, the collective action model requires that employees bear the costs and risks of unionization before the employer engages in misconduct – the negotiation of a collectively bargained just cause provision must precede employer opportunism to be effective. Thus, under that model, workers must pay a premium to guarantee fair treatment even though they might optimistically expect such behavior from employers without any concerted action. In contrast, to the extent the invocation of individually enforceable rights requires out-of-pocket expenses, such costs are borne after a dispute has

156. See, e.g., Brudney, *supra* note 110, at 1563 (arguing that legislative enactments and judicial decisions “over the past thirty years have undermined the concept of group action – in particular collective bargaining – as a preferred means of regulating the employment relationship”); Clyde W. Summers, *Labor Law as the Century Turns: A Changing of the Guard*, 67 NEB. L. REV. 7, 10-11 (1988) (“There is current recognition that if the majority of employees are to be protected, it must be by the law prescribing at least certain rights of employees and minimum terms and conditions of employment.”); Katherine Van Wezel Stone, *The Legacy of Industrial Pluralism: The Tension Between Individual Employment Rights and the New Deal Collective Bargaining System*, 59 U. CHI. L. REV. 575, 593 (1992) (“[T]he emerging regime of individual employee rights represents not a complement to or an embellishment of the regime of collective rights but rather its replacement.”); see also Bales, *supra* note 107, at 696 (“[S]everal legal commentators have argued that the statutory and judicial creation of individual employment rights have both signaled and caused the demise of the collective bargaining model.”).

157. Marion Crain & Ken Matheny, *Labor’s Identity Crisis*, 89 CAL. L. REV. 1767, 1769 (2001); see also Margalioth, *supra* note 148, at 156.

158. See Margalioth, *supra* note 148, at 156 (observing that through “protective minimum standard laws, workers may come to feel that they have less of a need for a union (which, among other things, they would have to finance) to protect their interests, expecting the government, on federal, state, and municipal levels, to legislate protective labor statutes, and regulate (at public expense) employer workplace decisions”).

already arisen. A further advantage of individual rights statutes is that they often times include compensatory and punitive damages, which are frequently “far more generous and powerful than the restorative remedies provided under collective bargaining agreements and the NLRA.”¹⁵⁹ For all these reasons, reliance on individually enforceable employment regulations in lieu of collective action likely has undercut some of the impetus for union formation.

If the availability of individually enforceable employment rights mutes demand for unions, it follows that overestimation of the protective content of such rights further undermines efforts at collective organization. However, the effect of phantom employment rights is far more pernicious than the mere displacement of one modality of employment protection (collective action) by another (individually enforceable rights). Phantom employment rights may encourage employees to forego collective action, at least in part, in reliance on the availability of rights that do not in fact exist. At the same time, such phantom rights also likely sap pressure from the citizenry for increased legislative protections in the form of individually enforceable rights. Thus, rather than prioritizing the individual enforcement model over the collective bargaining model of workplace regulations, phantom employment rights deter the advance of both.

Overestimation of employment rights undercuts some of the basic elements necessary to mobilize workers for more secure employment and fair treatment on the job whether through unionization or increased legislation. As Frances Zemans observed, “[t]he law is . . . mobilized when a desire or want is translated into a demand as an assertion of one’s rights.”¹⁶⁰ Michael McCann took this assertion as his starting point in his landmark study of the politics of legal mobilization in the pay equity reform movement.¹⁶¹ He noted that social movements by definition develop to fulfill basic needs and interests of disadvantaged citizen groups.¹⁶² Such citizen groups are not necessarily automatically activated by the mere existence or exacerbation of threats or hardships; otherwise, social movements would likely be far more common.¹⁶³ Instead, McCann argued that what is most important in stimulating social movements “is not the actual degree or form of deprivation so much as the evolving

159. Brudney, *supra* note 110, at 1570.

160. Frances Kahn Zemans, *Legal Mobilization: The Neglected Role of the Law in the Political System*, 77 AM. POL. SCI. REV. 690, 700 (1983).

161. MICHAEL W. MCCANN, *RIGHTS AT WORK: PAY EQUITY REFORM AND THE POLITICS OF LEGAL MOBILIZATION* 6 (1994).

162. *Id.* at 93.

163. *Id.*

perceptions of aggrieved citizens about the nature or sources of their hardship.”¹⁶⁴ McCann further noted that legal rights advocacy has not been very successful in bringing “together isolated individuals,” but rather has been able “to transform, activate, and unite citizens already integrated into some form of common group activity or allegiance.”¹⁶⁵ Thus, for effective rights mobilization to take place, the preexistence of a group allegiance acts as a *sine qua non*.

Applying these observations to the context of union organization, phantom employment rights undercut both employee perceptions that the at-will regime presents a hardship to them and thwarts the development of a necessary group allegiance to protect against the potential harm. Felstiner, Abel, and Sarat, in their now classic article, *The Emergence and Transformation of Disputes: Naming, Blaming, Claiming . . .*, emphasized the importance of perceiving an injury in prompting remedial action:

Assume a population living down-wind from a nuclear test site. Some portion of that population has developed cancer as a result of the exposure and some has not. Some of those stricken know that they are sick and some do not. In order for disputes to emerge and remedial action to be taken, an unperceived injurious experience (unPIE, for short) must be transformed into a perceived injurious experience (PIE). The uninformed cancer victims must learn that they are sick. The transformation perspective directs our attention to the differential transformation of unPIEs into PIES.¹⁶⁶

Although Felstiner, Abel, and Sarat, point to an example where awareness of an actual injury prompts the initiation of remedial action, it is also true that people will often take remedial action to protect against a potential injury. Thus, once it is known that nuclear test sites, or nuclear storage facilities for that matter, pose a potential health threat to surrounding inhabitants, communities will vehemently resist the placement of such facilities in their localities.¹⁶⁷ In other words, knowledge of the potential risk itself, without more, in the language of Felstiner, Abel, and Sarat, is a PIE that can prompt concerted action.

Phantom employment rights, by analogy, prevent employees from making the transformation from unPIE to PIE by shrouding the risks embedded in the at-will regime. Because employees feel confident that they

164. *Id.*

165. *Id.* at 111.

166. William L.F. Felstiner et al., *The Emergence and Transformation of Disputes: Naming, Blaming, Claiming . . .*, 15 LAW & SOC'Y REV. 631, 633 (1980-81).

167. For a real life example, consider the State of Nevada's entrenched resistance to the federal government's designation of Yucca Mountain as the appropriate repository for the nation's spent nuclear fuel. See *Why Does the State Oppose Yucca Mountain?* (Feb. 4, 1998), <<http://www.state.nv.us/nucwaste/yucca/state01.htm>>.

are guaranteed fair treatment, there is no impetus to organize to ensure such treatment. Indeed, employers have long countered threats of unionization by obfuscating the risks of at-will employment. As has already been observed, ILM norms evolved, at least in part, to deter collective action by mimicking the terms of a union shop without formally binding the employer to such terms.¹⁶⁸ The logic of the ILM is to present the employee with the illusion of assured job security and fair treatment without binding the employer to any concrete legal commitment. The employer benefits by winning the loyalty of employees while maintaining undiminished control over its workforce. The same motivations underpin the proliferation of corporate codes of conduct that hold out the promise of fair treatment.¹⁶⁹

In the same way, phantom employment rights create an aura of fair play without actually requiring it, thus lulling employees into a false sense of security. Kim has observed:

If workers mistakenly believe the law protects them against unjust discharges, employers reap the benefit of being legally free to discharge at will, without having to compensate their employees for their lack of job security. Moreover, as the theory of the ILM highlights, in order to encourage optimal employee investment in the relationship, employers want employees to believe that they will be treated fairly and that their employment will not be terminated arbitrarily Put somewhat simplistically, the costs involved in informing the typical worker of the at-will rule and educating her about the benefits of a just cause standard may exceed any potential gains for the employer. As a result, workers remain overwhelmingly mistaken about the law, and bargaining over the issue of job security rarely occurs.¹⁷⁰

Similarly, Estlund has noted that “[t]he problem with erroneous employee beliefs about the law is that *they allow employers to have it both ways*: Employers enjoy the considerable benefits of employee beliefs that they are legally protected against unjustified discharge while escaping the costs of that legal protection.”¹⁷¹

Given this benefit, it is not surprising that employers, generally speaking, seem content to preserve employee misinformation relating to their legal rights at work. Jesse Rudy observed that only 32 percent of employers he solicited allowed him to conduct his replication of the Kim survey with their employees.¹⁷² He noted that one explanation for the low participation rate was that “employers gain from the confusion of their

168. See *supra* note 76 and accompanying text.

169. See *supra* note 80 and accompanying text.

170. Kim, *Norms, Learning, and Law*, *supra* note 1, at 497 (emphasis in original).

171. Estlund, *supra* note 3, at 10 (emphasis in original).

172. Rudy, *supra* note 1, at 320.

employees, and therefore promote a false image of job security so that their employees will not bargain for legally binding job security.”¹⁷³ The conversations he had with some declining employers anecdotally supported this hypothesis, as the overwhelming response of declining firms echoed the sentiment of one employer that stated: “[W]e don’t want to expose [our employees] to that kind of information.”¹⁷⁴

In short, by masking the harsh realities of the at-will regime, phantom employment rights mute employee demands for increased worker protection by creating a false sense of security (or in antiquated Marxian terms “false consciousness”). They thereby provide another reason that workers, who traditionally turned to unions not only for better pay and benefits but for protection from arbitrary or unfair employee conduct, are less likely to engage in collective action, with all of its costs. By the same token, phantom employment rights also undermine movement towards further protective workplace legislation. While it might be expected that in our democratic system the almost universal disapproval towards a number of acts that remain legal under the at-will regime would translate into enhanced legal protections for workers, the enactment of such protections is often predicated on a mobilized citizenry. The overestimation of legal rights is a stumbling block to any such mobilization. Thus, while phantom employment rights are mere legal apparitions, they can have very real consequences.

V. CONCLUSION

In conclusion, empirical data indicates that Americans almost universally disapprove of employer actions that violate the principles of just cause termination. Nevertheless, legislative mobilization towards just cause protection remains dormant, while union membership continues to decline. At the same time, surveys have consistently established that workers overestimate the legal protections afforded to them at work. The genesis of this overestimation of rights stems from employee knowledge that the employment relationship is heavily regulated but lack of knowledge of the content of such regulations. In these circumstances, employees assume that such regulations conform to general conceptions of fairness and reinforce pervasive occupational norms. However, the fact of the matter is that employment regulations in the United States leave numerous types of employer misconduct irremediable. By shrouding this

173. *Id.*

174. *Id.* at 320-21 (alteration in original).

fact and creating a false sense of security, phantom employment rights likely augment other factors that contribute to union decline and undermine pressure for legislative reform. Therefore, while labor activists and Workers' Rights clinics certainly do a service by informing workers of their rights, it is perhaps equally important that workers be informed of their lack of rights.